Industry Analysis

The importance of industry analysis is now dawning on the Indian investor as never before. Previously, investors purchased shares of companies without concerning themselves about the industry it operated in. And they could get away with it three decades ago. This was because India was a sellers' market at that time and products produced were certain to be sold, often at a premium. Those happy days are over. Now, there is intense competition. Consumers have now become quality, cost and fashion conscious. Foreign goods are easily available and Indian goods have to compete with these. There are great technological advances and "state of the art" equipment becomes obsolete in a few years. If not months. In the late 1970s and early 1980s, movie cameras and projectors were prized possessions. With the advent of the video camera in the mid 80s they became obsolete. In 1988, laptop computers were the "in" thing. Everyone raved about the invention and how technology could compress a huge computer into such a small box. These early models did not have a hard disk but two fixed disk drives. A few months later hard disks were incorporated, initially having a capacity of 20 megabytes. The memory was then increased to 40 megabytes. In eighteen months, the laptop became obsolete with the creation of the notebook. These notebooks, some having a capacity of as much as 120 megabytes, are still not the last word in compressed computing. The palm tops have now arrived. Mobile phones today have computing capabilities. One really and honestly does not know what will be next.

I have used these examples to illustrate how technological advances make a highly regarded product obsolete. In the same way, technological advances in one industry can affect another industry. The jute industry went into decline when alternate and cheaper packing materials began to be used. The popularity of cotton clothes in the West affected the manmade (synthetic) textile industry. An investor must therefore examine the industry in which a company operates because this can have a tremendous effect on its results, and even its existence. A company's management may be superior, its balance sheet strong and its reputation enviable. However, the company may not have diversified and the industry within which it operates